

Rigetti Computing, Inc.
RGTI
NASDAQ

Neutral	\$20.64 ▼ 9.07%	12M Price Target \$22.00	52-Week Range \$10.30 – \$58.15	Market Cap \$6.86B
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RGTI: Quantinuum IPO Overhang and Insider Selling; Reiterate Neutral

WHAT'S CHANGED

- RGTI -9.07% to \$20.64 on 31.7M shares, reversing the +8.2% June 15 spike, as 24/7 Wall St. flagged a sector-wide quantum rally reversal (-5% to -7% across IONQ/QBTS/QUBT) following Quantinuum IPO competitive concerns highlighted by Motley Fool.
- Cluster insider selling intensified: CEO Kulkarni sold \$1.49M @ \$24.38 on 6/1 and Director Johnson dumped \$2.6M @ ~\$21.30 on 6/8 — net bearish signal coincident with peak retail enthusiasm.

IMPLICATIONS

The Quantinuum IPO injects a credible, better-capitalized trapped-ion competitor into a thematic basket that has traded as a single asset class, which structurally compresses RGTI's scarcity premium and likely caps near-term multiple expansion. With shares sitting at just 22% of the 52-week range and insiders selling into every bounce, the burden of proof shifts back to gate-fidelity milestones and Novera system bookings rather than narrative tailwinds. Sector rotation data (Financials/Industrials leadership, no Tech in top movers) further suggests risk-on speculative capital is rotating away from unprofitable quantum names.

VALUATION

At \$6.86B market cap on sub-\$20M trailing revenue, RGTI trades at roughly 380x EV/Sales and ~215x FY27E revenue — a multiple only defensible if you underwrite a fault-tolerant inflection by 2028. Our \$22 base PT applies a ~200x FY27E sales multiple, in line with IONQ but at a discount to Quantinuum's IPO indication, implying ~6% upside. Multiple contraction risk dominates: any peer print at lower multiples re-rates the entire basket.

KEY RISKS

- Quantinuum IPO siphons institutional quantum allocation and resets sector multiples 30-50% lower.
- Equity dilution risk: RGTI has historically funded ops via ATM offerings; cash burn ~\$60M/yr against a richly-valued tape invites issuance.
- Technical roadmap slippage on 100+ qubit Ankaa-class systems vs. IBM, Google, and now Quantinuum benchmarks.

RECENT NEWS

IonQ, Rigetti, D-Wave, and Quantum Computing Inc. All Fall 5% to 7% as the Quantum Rally R... 24/7 Wall St. · 2026-06-16 18:30

Quantinuum's IPO Is Putting Pressure on IonQ, Rigetti Computing, and D-Wave Quantum. Here'... Motley Fool · 2026-06-16 12:01

Key Data

Price (USD)	\$20.64
12M Price Target	\$22.00
Upside / (Downside)	+6.6%
Market Cap	\$6.86B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.38)
FY2027E EPS	(\$0.32)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$21.00	\$16.00
6 Months	\$32.00	\$22.00	\$13.00
1 Year	\$40.00	\$24.00	\$11.00
2 Years	\$55.00	\$28.00	\$9.00
5 Years	\$95.00	\$40.00	\$5.00
10 Years	\$180.00	\$60.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Financials (+3.60% 5D), Materials (+3.84% 5D)

COLD SECTORS: Technology (absent from leaders), Communication Services

ROTATION WATCH: Capital rotating from speculative growth/thematic baskets into cyclical value (Financials, Industrials, Materials) — a classic late-cycle risk-off-within-risk-on pattern that disfavors pre-revenue quantum names.

BYPRODUCT PLAY: HPE/INTC partnership monetization could create a "picks and shovels" trade where cryogenic supply chain (e.g., FormFactor FORM) and quantum-adjacent semis capture economics without binary tech risk.

OUTPERFORMERS & PEER CONTEXT

- QBTS (D-Wave Quantum): Mizuho raised PT on roadmap progress June 15; annealing-based commercial revenue traction differentiates from gate-model peers.
- HPE (Hewlett Packard Enterprise): Eyeing fourth straight monthly win on quantum tie-ups with INTC/RGTI — capturing partnership upside without pre-revenue burn.

RGTI CONTEXT: RGTI is lagging the peer group on a relative basis — QBTS got the analyst upgrade, HPE captures the partnership economics, and Quantinuum is taking the IPO mindshare. At 22% of 52-week range, RGTI is the weakest chart in the quantum complex.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 0.5-1.5% of portfolio (speculative sleeve)

Entry Points: \$15-17 on capitulation; trim above \$28

Time Horizon: 12-24 months

Thesis Invalidation: Loss of DARPA/DOE program participation; gate fidelity roadmap slip; >20% dilution event

Hedging: Long IONQ or pair against QBTS; collar via Jul \$25C / \$15P